



Third-Quarter 2023 Results

November 1, 2023

Forward-Looking Statements

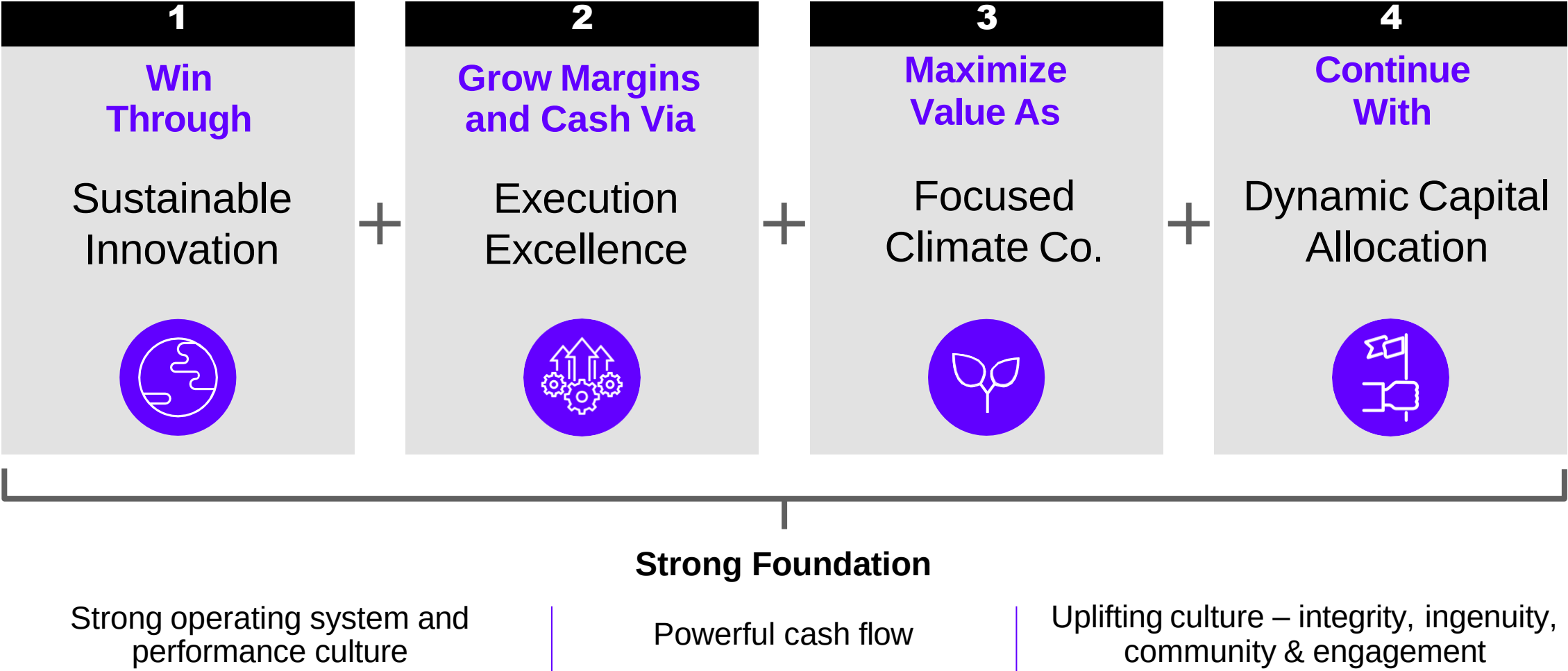
This news release includes “forward-looking” statements within the meaning of securities laws, which are statements that are not historical facts, including statements that relate to our future financial performance and targets, including revenue, EPS, operating income, operation margin and earnings; our business operations; demand for our products and services, including bookings and backlog; capital deployment, including the amount and timing of our dividends, our share repurchase program, and our capital allocation strategy, including M&A activities and investments, if any; our projected free cash flow and usage of such cash; our available liquidity; our anticipated revenue growth, including growth in organic revenue; performance of the markets in which we operate; our foreign exchange rate outlook, our credit rating; our productivity and cost savings initiatives; our ESG and other sustainability initiatives and our effective tax rate.

These forward-looking statements are based on our current expectations and are subject to risks and uncertainties, which may cause actual results to differ materially from our current expectations. Such factors include, but are not limited to, the impact of the global COVID-19 pandemic or future health care emergencies on our business, our suppliers and our customers; global economic conditions, including recessions and economic downturns, inflation, volatility in interest rates and foreign exchange; changing energy prices; the Russia-Ukraine conflict; financial institution disruptions; climate change and our sustainability strategies and goals; commodity shortages; supply chain constraints and price increases; government regulation; restructurings activity and cost savings associated with such activity; secular trends toward decarbonization, energy efficiency and internal air quality, the outcome of any litigation, including the risks and uncertainties associated with the Chapter 11 proceedings for our deconsolidated subsidiaries Aldrich Pump LLC and Murray Boiler LLC; cybersecurity risks; and tax audits and tax law changes and interpretations.

Additional factors that could cause such differences can be found in our Form 10-K for the year ended December 31, 2022, as well as our subsequent reports on Form 10-Q and other SEC filings. New risks and uncertainties arise from time to time, and it is impossible for us to predict these events and how they may affect the Company. We assume no obligation to update these forward-looking statements.

This news release also includes non-GAAP financial information, which should be considered supplemental to, not a substitute for, or superior to, the financial measure calculated in accordance with GAAP. The definitions of our non-GAAP financial information are included as an appendix in our presentation and reconciliations can be found in our earnings releases for the relevant periods located on our website at www.tranetechnologies.com. Unless otherwise indicated, all data beyond the third quarter of 2023 are estimates.

Focused Strategy Delivers Differentiated Shareholder Returns



Continued Strong Execution / Financial Performance. Raising 2023 Guidance. Well Positioned for Growth in 2024 With Standout Bookings & Backlog

- **Continued strong execution across diversified and resilient global portfolio**
 - Strong growth and leverage through the P&L - Organic revenues* up 9%; adj. operating margins* up 130 basis points; adj EPS* up 23%
 - Bookings at an all time high > \$4.9B. Strong growth in all segments
 - Organic leverage* of ~36% across enterprise, while accelerating investments in key innovation and growth programs across portfolio
- **Bookings / backlog remain strong, led by longer cycle commercial HVAC businesses globally**
 - CHVAC organic bookings* up low-teens+ in all segments.
 - 3-year stack bookings up appx. 65% in Americas CHVAC and up more than 30% in EMEA & Asia CHVAC
 - Strong and growing CHVAC project pipeline globally; leveraging power of direct salesforce, deep customer relationships and leading innovation to remain agile & provide differentiated solutions for customers to win across high growth verticals
 - Global CHVAC backlog up ~100% & ~170%, past two & three yrs, respectively, & up ~\$800M since YE 2022 (~15%). As expected, Resi & TK backlog normalizing through 2023
- **Well-positioned for continued growth in 2023 and 2024**
 - Q3 ending backlog of \$6.9B, 2.5X historical norms; Global CHVAC backlog ~3X historical norms
 - Historical norms for backlog are ~20% of next twelve months revs, anticipate robust backlog entering 2024 greater than \$6B
- **Continued execution of balanced capital allocation strategy. Financial position, liquidity and balance sheet bolster resilience and optionality**
 - YTD through Oct deployed \$1.6B, incl. \$513M dividends, \$550M share repurchases, \$535M M&A; expect total capital deployment of ~\$2.5B in 2023
 - YTD committed or deployed appx. \$900M towards strategic, bolt-on M&A, incl definitive agreement to acquire Nuvolo to augment energy svcs, digital offerings
 - Doubling incremental investments in innovation and growth programs in 2023; targeting ~70bps incremental, or ~30bps plus above avg
 - Strong Q3 cashflow; on track to deliver free cash flow = / > 100% of adj. net earnings*
- **On pace for strong 2023 - raising 2023 revenue and EPS guidance**
 - Expect organic revenue growth of 8% to 9%, up from ~8% prior; Adj. EPS of ~\$9.00, up from \$8.80 to \$8.90 (see p.19 for more detail)

*Includes certain Non-GAAP financial measures. See the company's Q3 2023 earnings release for additional details and reconciliations

Exceptional Bookings, Strong Revenue Growth. Backlog of \$6.9B is 2.5X Historical Norms. Positions Us Well for 2024

Q3 Organic* Y-O-Y Change

Bookings Revenue

Enterprise	+ 8%	+ 9%
Americas	+ 7%	+ 11%
Commercial HVAC	+	+
Residential HVAC	+	+
Transport	-	-
EMEA	+ 12%	+ 3%
Commercial HVAC	+	+
Transport	+	+
Asia Pacific	+ 12%	- 1%
Commercial HVAC	+	-
Transport	+	+

Americas

- CHVAC bookings up mid-teens, 3-yr stack up ~65%. Revs up low-twenties, 3-yr stack up ~40%. Strong rev growth in equip & svcs, up ~30% & low-teens, respectively
- Resi bookings up MSD. Revs up LSD. Normalizing as expected
- Transport bookings and revenues in-line with expectations. Transport bookings down 30+%, lumpy as expected impacted by order timing (order book opened early Oct for 2024). Revs down ~mid-teens, 2-yr stack up more than 40%. On track to outperform market
- Americas backlog ~3X historical norms

EMEA

- CHVAC bookings up low-teens, 2-year stack up ~25%; revs up MSD, 2-yr stack up 30+%
- Transport bookings up low-teens w/ revs up LSD; on track to outperform market
- EMEA backlog approximately 60% more than historical norms

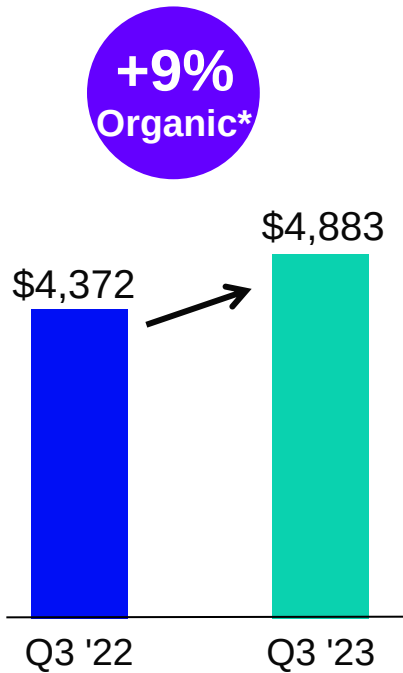
Asia Pacific

- Asia bookings up low-teens, 3-yr stack up 25+%; revs down LSD, 3-yr stack up almost 30%
- CHVAC bookings up low-teens, 3-yr stack up ~35%; revs down LSD vs 30+% PY
- China bookings up HSD, revs down LSD vs. high-teens PY growth
- Asia backlog approximately 70% more than historical norms

*Organic bookings and organic revenues exclude acquisitions and currency

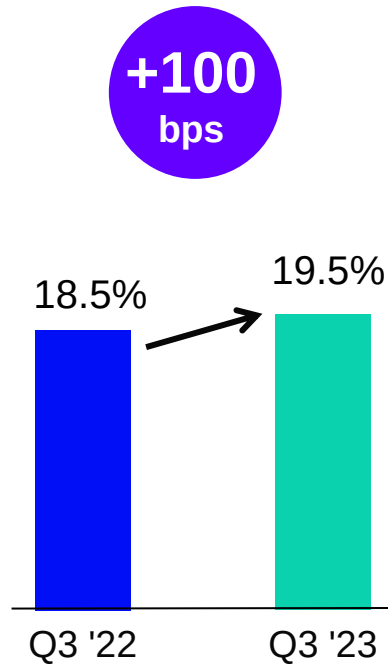
Performance Scoreboard: Robust Revenue Growth, Margin Expansion and EPS Growth

Net Revenue



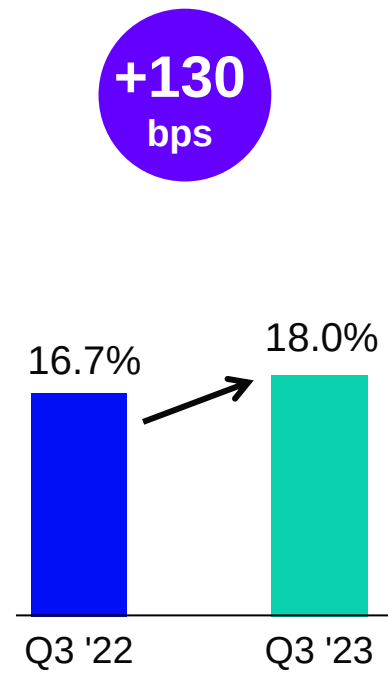
- Strong organic revenue growth with equipment sales up high-single-digits and services up low-teens

Adj. EBITDA Margin*

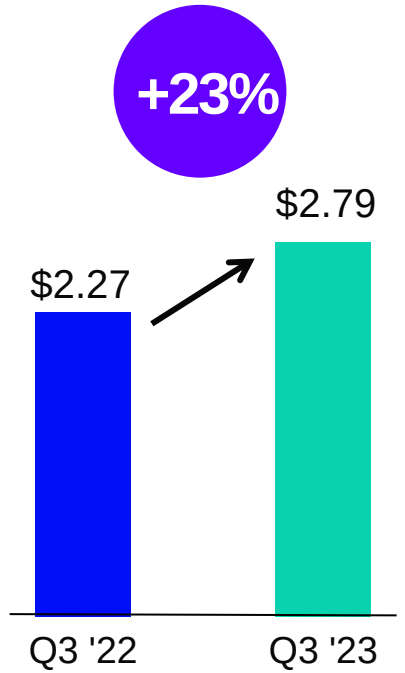


- Strong volume growth and backlog margins, positive price realization and productivity more than offset inflation
- Strong enterprise organic leverage of ~36%

Adj. Operating Margin*



Adj. Continuing EPS*



- Strong execution of company's business operating system driving operational excellence through P&L

*Includes certain Non-GAAP financial measures. See the company's Q3 2023 earnings release for additional details and reconciliations.

Strong, Broad-Based Organic Revenue Growth and Margin Expansion

\$M	Revenue Org.* Growth	Adj. EBITDA*% vs PY	Adj. OI*% vs PY	Highlights
Americas	\$3,888 +11%	20.8% +80 bps	19.3% +120 bps	- Strong broad based margin expansion - Strong volume growth and backlog margins, positive price realization and productivity, more than offset inflation - High incremental business reinvestment in each segment supporting sustainability strategy, innovation and growth initiatives
EMEA	\$619 +3%	21.1% +260 bps	19.1% +230 bps	
Asia Pacific	\$376 -1%	23.3% +160 bps	22.0% +180 bps	

* Includes certain Non-GAAP financial measures. See the company's Q3 2023 earnings release for additional details and reconciliations.

Outlook for Healthy 2023 Growth and Continued Strong Underlying Demand for Sustainable Solutions

Americas

Commercial HVAC

- Strong demand for innovative solutions driving robust backlog; Data center / education / healthcare / high-tech industrial - all remain strong
- Leading systems & services portfolio, best-in-class execution through BOS; customers' partner of choice for decarb, energy efficiency & healthy spaces

Residential HVAC

- Channel normalization continued as expected in Q3'23
- Expect resi normalization process to continue in Q4'23 and to be complete by year end 2023
- Expect 2023 unit volumes down ~HSD; revs down ~MSD. No change to our constructive view of resi markets 2024 and beyond aided by policy & reg tailwinds

Transport

- Weighted avg mkt growth outlook in 2023 down LSD
- Expect TK to outperform end mkts w/ +LSD to MSD revs 2023 – innovation-led; diversified, resilient portfolio
- Q4'23 ACT forecasts market down mid-teens; expect TK to perform in-line against tough PY comp (up ~+30%)

EMEA

Commercial HVAC

- Continued strong demand for innovative, sustainability-focused products and services; accelerating demand for next-gen Thermal Mgmt Systems
- Ongoing regulatory and policy tailwinds across the region

Transport

- Weighted average market growth outlook stable – down LSD to MSD in 2023, partly reflecting economic uncertainty in region; continue to see high level of demand for our innovative products and solutions
- Expect TK to outperform end mkts w/ flattish revs 2023 – innovation-led; diversified, resilient portfolio

Asia Pacific

China

- Strong order growth up HSD in Q3; Environment remains dynamic; strength in data center, electronics, pharma, healthcare...strong verticals for TT

Rest of Asia

- Strong order growth up high-teens in Q3; strength in data center, fab plants, EV battery

Stacking Effect of Policy and Regulatory Changes Provide Support Across Our Businesses Including:

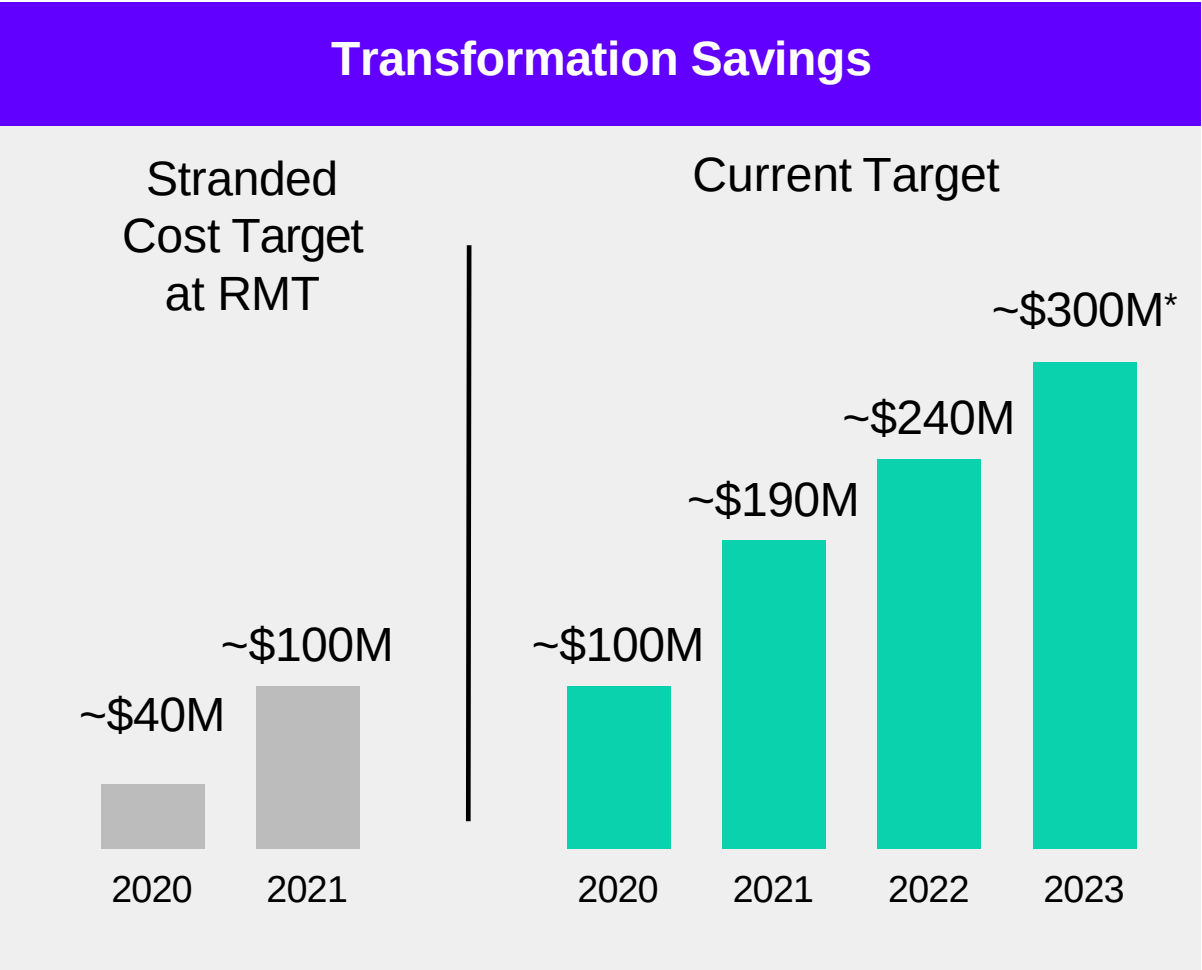
IRA; education stimulus (ESSER); CHIPS and Science ACT; SEER / refrigerant changes; 2030 EU Climate and Energy Framework

Raising FY'23 Revenue & EPS Guidance to Reflect Favorable Outlook and Continued Strong Execution

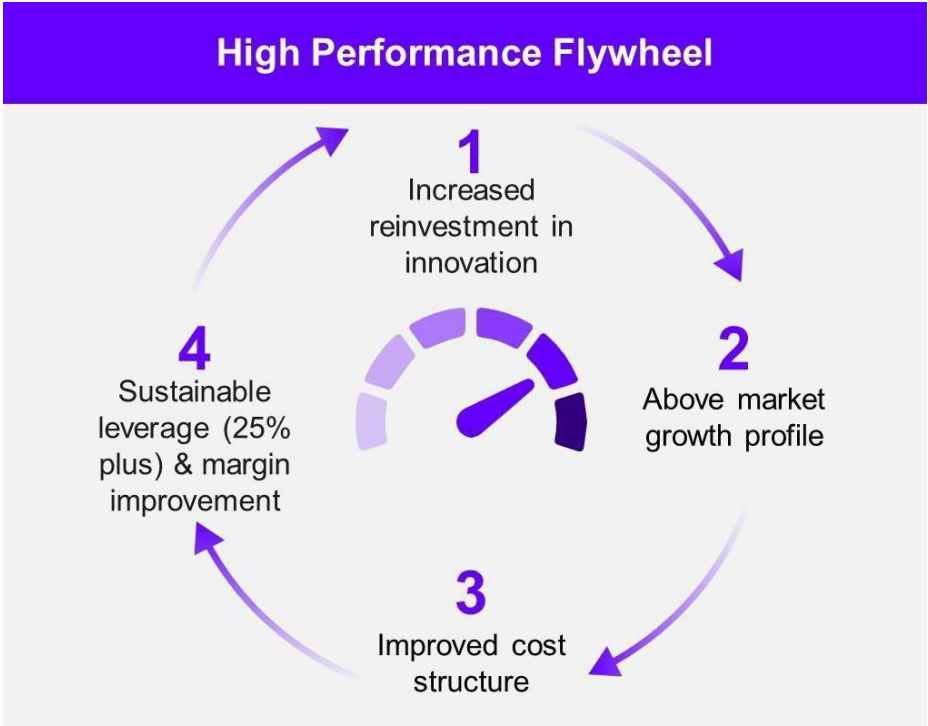
	Prior FY Guidance	Updated FY Guidance*
Organic Revenues	~+8% (~+10% reported, incl. M&A)	+8% to +9% (+10% to 11% reported, incl. M&A)
Adj. EPS	\$8.80 to \$8.90 (+20% to +21%)	~\$9.00 (~+22%)
Operating Leverage	Organic 30%+ Strong core leverage, healthy backlog margins, positive price / cost each quarter	Organic 30%+ <i>Expect Q4 30%+</i> Strong core leverage, healthy backlog margins, positive price / cost each quarter
Free Cash Flow	= / > Adj. Net Earnings	= / > Adj. Net Earnings

*See pg.19 for additional details

On Track For ~\$300M Total Transformation Savings by Year-End; Business Operating System to Drive Strong Productivity / Cost Savings Over Long Term



- Targeting delivery of incremental savings of ~\$60M in 2023
- ~\$300M transformation savings adds fuel to high-performance flywheel



* Expenses Related to Achieving Cost Reductions; ~\$1M in Q3 '23; ~\$133M cumulative 2020, 2021, 2022 and YTD 2023.

Strong FCF Drives Continued Balanced Capital Deployment Strategy

1

Invest for Growth

- Strengthen the core business and extend product & market leadership
- Invest in new technology and innovation
- Strategic investments in value-accretive M&A

2

Maintain Healthy, Efficient Balance Sheet

- Expect to deliver FCF* $\geq$ 100% of adjusted net earnings
- Strengthening balance sheet
- Strong Baa1/BBB+ investment grade rating offers optionality as markets evolve

3

Return Capital to Shareholders

- Expect to consistently deploy 100% of excess cash over time
- Pay competitive dividend and grow dividend at or above rate of earnings growth over time
- Repurchase shares with excess cash when intrinsic value provides high returns

* Includes certain Non-GAAP financial measures. See the company's Q3 2023 earnings release for additional details and reconciliations.

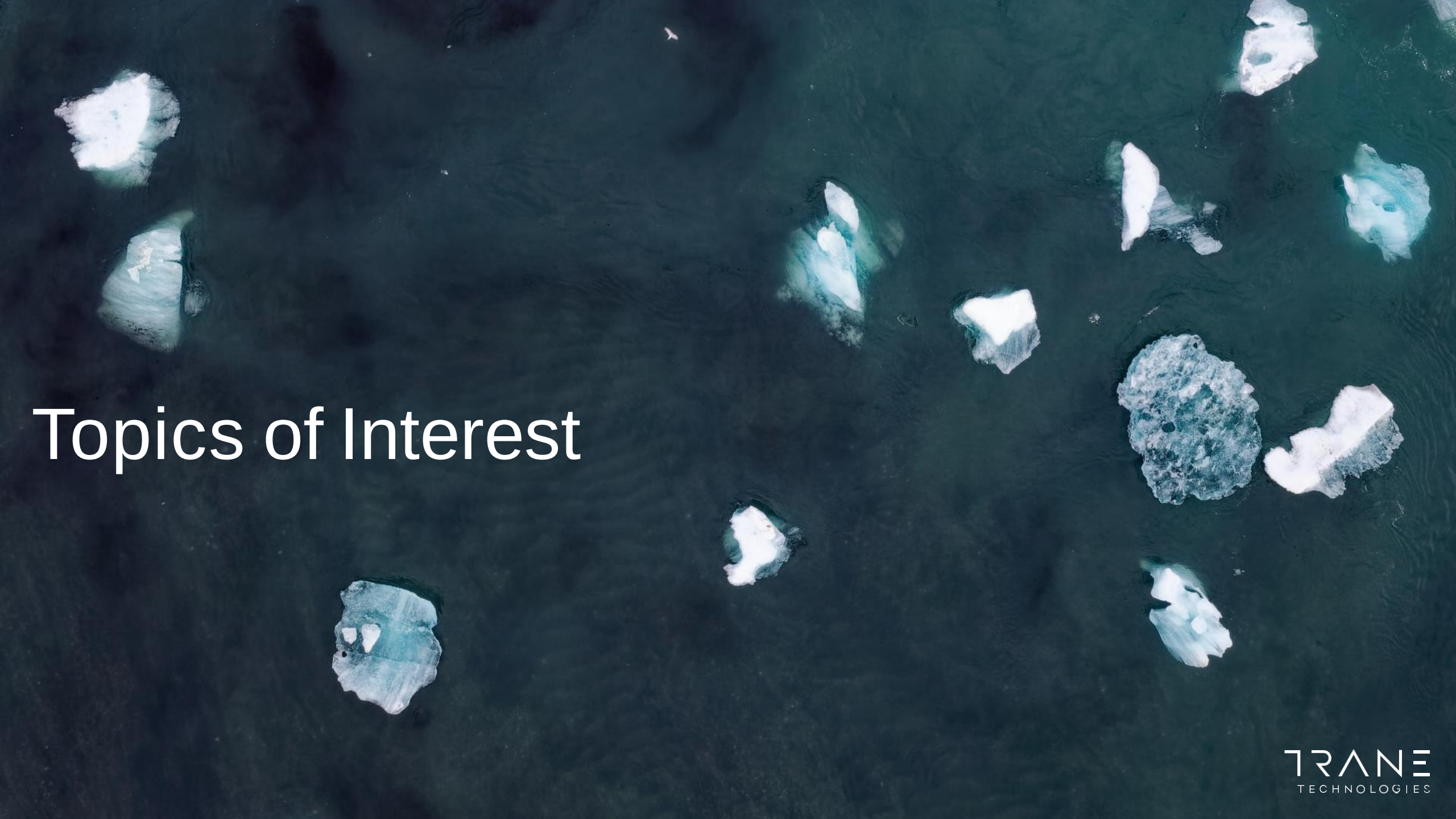
Balanced Capital Allocation; Deployed ~\$1.6B YTD Through Oct; ~\$2.5B Expected FY 2023

Balanced Capital Deployment

	Actual YTD Oct 2023	Target FY 2023
Dividends	\$513M	~\$0.7B
M&A, investments	\$535M	~\$1.8B
Share repurchases	\$550M	
Total Capital Deployed	~\$1.6B	~\$2.5B

Capital Deployment

- Q3 dividends of \$172M (YTD \$513M); increased dividend 12% to \$3.00 per share annualized in March 2023
- M&A pipeline remains active: Deployed or committed ~\$900M YTD Oct
 - Nuvolo augments energy services, digital offerings. Anticipate close in Q4.
 - MTA adds industrial process cooling in EMEA and Americas. Closed in Q2.
 - Helmer Scientific adds precision temperature control cooling technology in Americas. Closed in Q2.
- YTD Oct share repurchases of \$550M; ~\$2.65B remaining authorization
- Shares remain attractive, trading below intrinsic value
- Targeting ~\$2.5B capital deployment in 2023



Topics of Interest

Strong Execution Across TK Markets Globally, Driving Outperformance in Each Segment

N.A. and EMEA Market Results / Forecast

Actual 2022 Transport
N.A. Market
Trailer / Truck / APU wtd avg
+13%
(Actual Thermo King 20+%)

2023 Transport N.A.
Market Outlook*
Trailer / Truck / APU wtd avg
-LSD

Actual 2022 Transport
EMEA Market**
Trailer / Truck wtd avg
-15%
(Actual Thermo King +HSD)

2023 Transport EMEA
Market Outlook**
Trailer / Truck wtd avg
-LSD to -MSD

Source: ACT / IHS / Company Estimates

*Includes 2023 N.A. ACT Trailer build Oct fcst of ~42.3K, adjusted from July fcst of ~42.5K (down ~5% year-over-year)
** Reflects removal of Russia from EMEA Mkt Sizing

Note-Global Thermo King is ~15% of enterprise revenues. Americas / EMEA / Asia represent ~60% / ~35% / ~5% of global Thermo King revenues, respectively

N.A., EMEA Markets Expected to be Modestly Lower in 2023

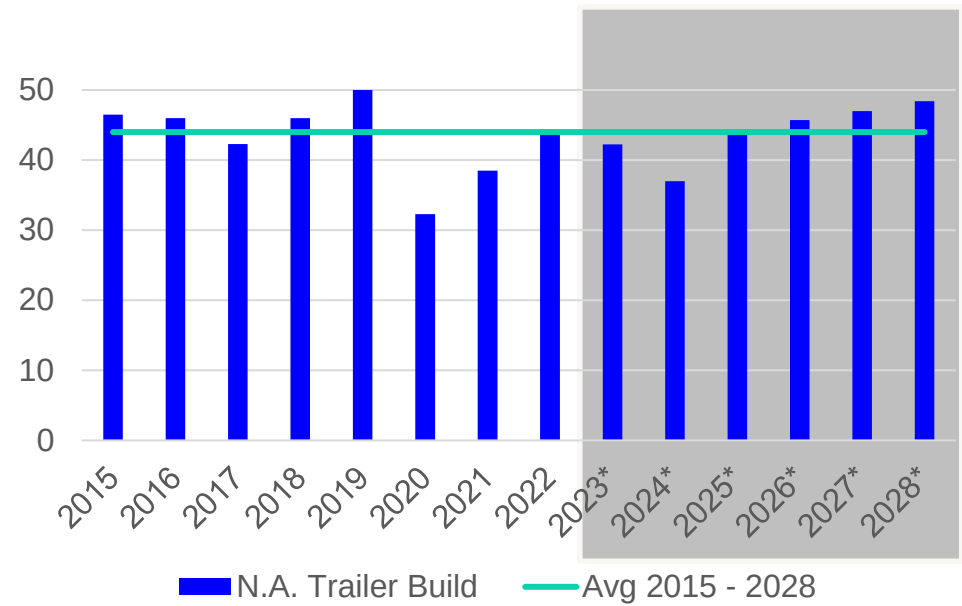
- **Trailer/Truck/APU: ~2/3^{rds} of Total Transport Revenue**
 - N.A. growth estimates -LSD; EMEA growth estimates -LSD to -MSD
- **Marine/Bus/Rail/Air/Aftermarket (“all other”): ~1/3rd of Total Transport Revenue**
 - N.A. and EMEA weighted avg. growth estimates down -LSD
- **Diversified Americas / EMEA Thermo King significantly outperformed end markets in 2021 and 2022**

Total Transport wtd avg growth: Truck/Trailer/APU/Marine/Bus/Rail/Air					
	2021 Mkt	2021 TK	2022 Mkt	2022 TK	2023 Mkt
Americas	15%	30+%	12%	20+%	-LSD
EMEA	13%	20+%	-9%	+HSD	-LSD to -MSD

- **Expect TK to outperform end markets in both regions in 2023**
 - TK Americas est. +LSD to MSD; TK EMEA est. Flat

ACT Projects North America Refrigerated Trailer Market to Dip in 2024 then Remain Robust 2025 through 2028 (above 40k units)

ACT North America Trailer Market Outlook



* Forecast shown in grey
Source: ACT Oct Forecast

Comments

- ACT 2023 North America Trailer forecast adjusted to 42.3k from 42.5k
- ACT 2024 North America Trailer forecast decreased to 37k units from 41k units (down ~12% YOY)
- Underlying refrigerated trailer demand remains high, average ~44k units per year
- Strong demand forecast through 2025-2028
- Diversified Americas / EMEA Thermo King businesses poised to outperform end markets through continued innovation / execution

Positioned Well for Growth in 2024

Strong CHVAC Demand (~65% of revs)

- Strong execution / innovation in high-growth verticals delivering strong bookings / revenues
- Direct salesforce uniquely positioned to capture opps across healthy end markets, albeit some softer verticals
- Secular sustainability megatrends, stacking effect of policy/regulatory tailwinds & mega-projects largely ahead of us

Record Backlog

- Exceptional backlog ~2.5X historical levels; Expect >\$6B entering 2024
- ~90% of backlog is CHVAC, w/ strong applied backlog

Normalized Resi Market (~20% of revs)

- Residential HVAC largely normalized heading into 2024
- On the path to our long-term expectation for GDP plus growth

Pricing Opportunities

- Innovation led pricing opportunities
- Strong pricing execution to mitigate inflationary risks

Stable Supply Chain / Lean DNA

- Improving productivity w/ stable supply chain / TT lean culture
- High ROI on productivity investments such as factory automation

N.A. Transport Market (~10% of revs)

- ACT projecting 2024 dip in N.A. trailer, growth in 2025 and beyond; recent volatility in ACT requires further assessment
- If market declines, expect to outperform w/ deleverage < GM%

Services Growth

- Strong / resilient services growth; 6-year CAGR up HSD
- Strong applied backlog bolsters high margin recurring, long-tail revenue stream
- Secular decarb trends support cont. strong growth in energy services



IN SUMMARY

Positioned to Outperform Over the Long-Term

Secular Tailwinds

The markets we serve will continue to outgrow GDP, fueled by long-term sustainability megatrends

Sustainability Focused Innovation

We are positioned to outgrow the market and expand margins with market-leading sustainable innovations

Margin Expansion

Our execution excellence and transformational work position us to maximize margins and cash generation

Financial Strength

Our strong balance sheet, exceptional cash generation and balanced capital allocation strategy deliver significant value to shareholders



Appendix

FY'23 Detailed Guidance for Modeling Purposes

Metric	FY Guidance	Commentary
Organic Revenue*	+8% to +9%	30%+ organic leverage for FY'23
M&A	+2%	M&A carries ~3% leverage - nominal contribution given year 1 integration costs. FY impact to enterprise reported leverage is ~4 points lower than organic leverage (each point of M&A reduces year 1 leverage by ~2 points)
Reported Revenue	+10% to +11%	Other Items 4Q'23: expect 30%+ organic leverage. M&A adds ~2pts of growth given timing of acq. Minus 4pts reported vs organic leverage*. FY unchanged on 2pts M&A. Unchanged FY'23 Other Items: ~19% to ~20% adj. effective tax rate ~230M diluted shares - Above average incremental investment (normal range ~40 bps year) ~\$235M interest expense – reflects refinancing \$700M debt in 1Q 2023 - Including estimated 2023 pension expense of \$20M, \$5M/QTR in other income / expense line item. Other items in other inc. / exp. such as FX impacts are unknown / not forecast-able Updated FY'23 Other Items: ~\$275M corporate costs (~\$270M prior) – higher enterprise-wide investments ~\$60M Non-GAAP adj. on Earnings on Continuing Operations (~\$0.25 exc. from adj. EPS)**
FX	Neutral to FY	
Adj. EPS*	~\$9.00 (~+22%)	

*Includes certain Non-GAAP financial measures. See the company's Q3 2023 earnings release for additional details and reconciliations.

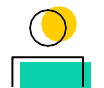
**Supports initiatives to deliver ~\$300M in annualized savings by YE 2023 (3X initial \$100M RMT stranded cost reduction target)

Trane Technologies Core Sustainability Strategy: Challenge Possible

Global Megatrends



CLIMATE CHANGE



DEMOGRAPHICS



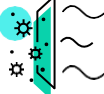
URBANIZATION



DIGITAL CONNECTEDNESS



RESOURCE SCARCITY



INDOOR AIR QUALITY (IAQ)

Our 2030 Commitments

The Gigaton Challenge

Reducing one gigaton of carbon emissions (CO₂e) from our customers' footprint

Leading by Example

Achieving carbon neutral operations, 10% absolute energy reduction, zero waste to landfill and net positive water

Opportunity for All

Creating workforce diversity that mirrors our communities, investing in STEM education

Material Issues to Focus Our Efforts

Operations

Emissions intensity
Renewable energy
Water usage
Heating electrified

Products and Services

Energy efficiency
Low-emission products
Technology & innovation
Emerging market innovations
Product life cycle

Supply Chain

Responsible sourcing
Supplier diversity

Employees

Diversity and inclusion
Ethics and integrity
Safety
Development
Engagement

Communities

Access to cooling
Food and wellness
Education
Workforce development

Governance

Board oversight
Financial performance
Public policy

Targets Align with Global Priorities



2 Zero Hunger



4 Quality Education



5 Gender Equality



6 Clean Water & Sanitation



7 Affordable & Clean Energy



8 Decent Work & Economic Growth



9 Industry, Innovation & Infrastructure



11 Sustainable Cities & Communities



12 Responsible Consumption & Production

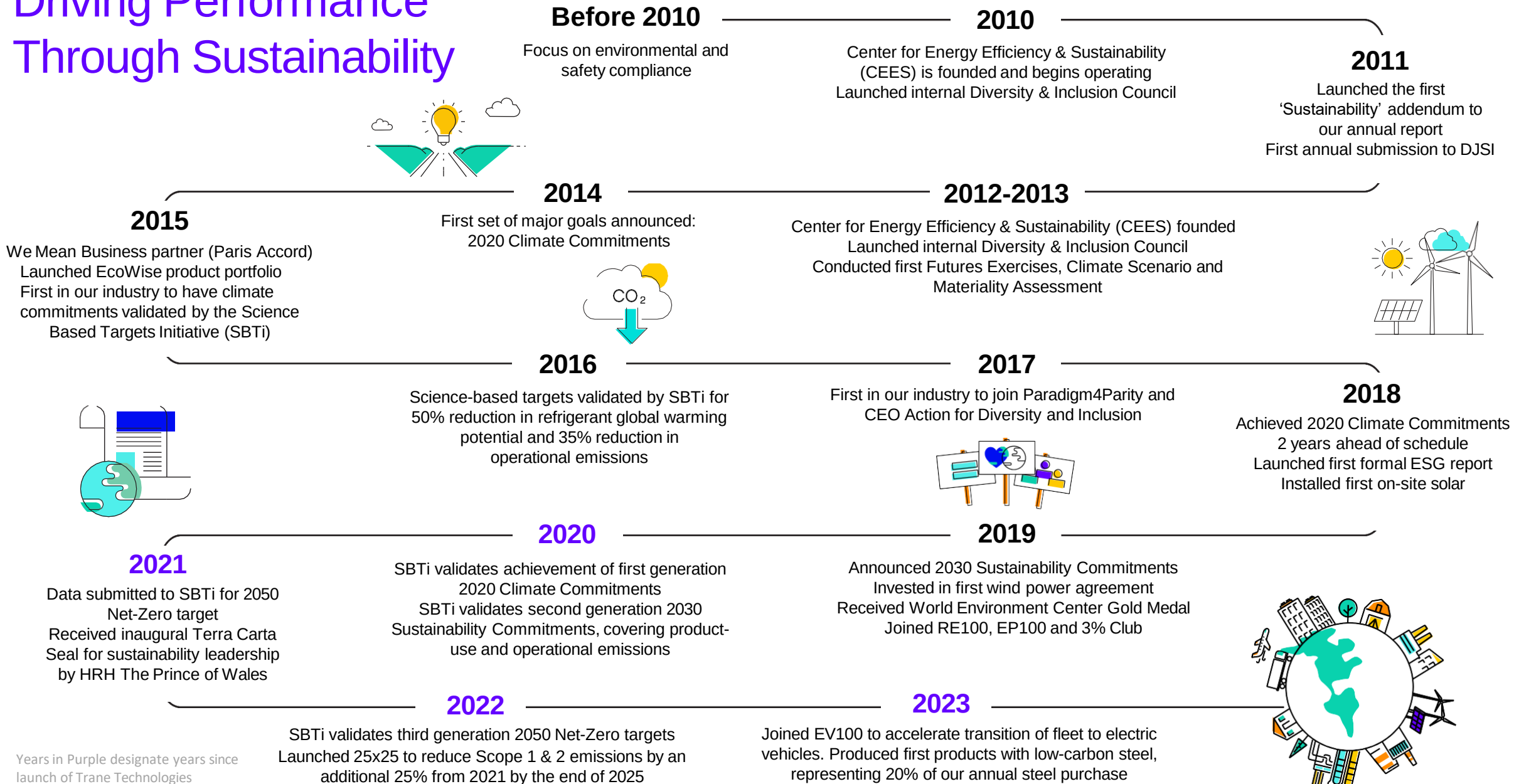


13 Climate Action



We believe in ambitious goals founded in science.
Trane Technologies is 1st in industry to be 2050 Net-Zero Approved by the Science-Based Targets Initiative (SBTi)

Driving Performance Through Sustainability



Widely Recognized for Sustainability, Citizenship, Diversity, Inclusion & Engagement

Highly Regarded ESG Performance



12 Consecutive Years
Performed in the 97th
percentile in the Capital
Goods industry



**2023 JUST 100: Ranked
18th**
2nd consecutive year JUST
100 Listing; Industry Leader



Named to A List
One of 283 companies
named to A List



97th Percentile
72/100; Gold Rating



73% percentile
in the industrial industry



3rd Consecutive Year
Recognized for reducing
GHG emissions in our
operations



**Recognized in the
inaugural edition**
Ranks companies according to
sustainability, revenue growth
and employee satisfaction



100 Best Corp. Citizens
4th consecutive year,
recognizes outstanding
ESG performance

People and Citizenship



**World's Most
Admired Companies**
11 consecutive years



**Best Workplaces
for Women**
First appearance on this list,
ranked 39th overall



**Best Workplaces
for Innovators**
Also named to Fast Company's
World Changing Ideas 2023 list



Certified in 2023
For one year through
rigorous, data-based model
and employee survey

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Q3 Organic Revenues up 9% Y-O-Y; Bookings Up 8%

Organic* Revenue	2020					2021					2022					2023		
	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3
Americas	-2%	-13%	+2%	+1%	-3%	+9%	+19%	+4%	+14%	+11%	+13%	+13%	+19%	+14%	+15%	+8%	+9%	+11%
EMEA	-3%	-15%	-6%	-6%	-8%	+12%	+28%	+8%	+5%	+13%	+6%	+11%	+18%	+23%	+15%	+15%	+8%	+3%
Asia Pacific	-34%	-5%	-2%	-6%	-11%	+34%	+2%	+1%	+4%	+7%	+14%	-12%	+28%	+19%	+12%	+8%	+41%	-1%
Total	-5%	-13%	+50bps	-1%	-5%	+11%	+18%	+4%	+11%	+11%	+12%	+11%	+19%	+16%	+15%	+9%	+11%	+9%

Organic* Bookings	2020					2021					2022					2023		
	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3
Americas	+11%	-5%	+8%	+2%	+4%	+36%	+29%	+20%	+31%	+29%	+6%	+10%	+11%	flat	+7%	-4%	-8%	+7%
EMEA	-2%	-20%	+6%	+9%	-3%	+18%	+53%	+25%	+13%	+27%	flat	-12%	-10%	+2%	-5%	+10%	+14%	+12%
Asia Pacific	-17%	-2%	-5%	+2%	-6%	+14%	+12%	+11%	+18%	+14%	+14%	+16%	+3%	-6%	+7%	+13%	+6%	+12%
Total	+6%	-7%	+7%	+3%	+2%	+31%	+30%	+20%	+27%	+27%	+6%	+7%	+8%	flat	+5%	-1%	-5%	+8%

*Organic revenues and bookings exclude acquisitions and currency

Q3 Year-to-Date Non-GAAP Measures Definitions

Adjusted operating income in 2023 is defined as GAAP operating income adjusted for restructuring costs, transformation costs, non-cash adjustment for contingent consideration and merger and acquisition related costs. Adjusted operating income in 2022 is defined as GAAP operating income adjusted for restructuring costs, transformation costs, merger and acquisition related costs, non-cash adjustment for contingent consideration, a settlement charge for a retired executive and an insurance settlement on a property claim in Q3 2022. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 2, 3 and 4 of the Q3 2023 news release.

Adjusted operating margin is defined as the ratio of adjusted operating income divided by net revenues.

Adjusted earnings from continuing operations attributable to Trane Technologies plc (Adjusted net earnings) in 2023 is defined as GAAP earnings from continuing operations attributable to Trane Technologies plc adjusted for an impairment of equity investment and the net of tax impacts of restructuring costs, transformation costs, a non-cash adjustment for contingent consideration and merger and acquisition related costs. Adjusted net earnings in 2022 is defined as GAAP earnings from continuing operations attributable to Trane Technologies plc adjusted for net of tax impacts of restructuring costs, transformation costs, merger and acquisition related costs, non-cash adjustment for contingent consideration, a settlement charge for a retired executive, an insurance settlement on property claim in Q3 2022 and a U.S. discrete non-cash tax adjustment. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 2 and 3 of the Q3 2023 news release.

Adjusted continuing EPS in 2023 is defined as GAAP continuing EPS adjusted for an impairment of equity investment and the net of tax impacts of restructuring costs, transformation costs, a non-cash adjustment for contingent consideration and merger and acquisition related costs. Adjusted continuing EPS in 2022 is defined as GAAP continuing EPS adjusted for net of tax impacts of restructuring costs, transformation costs, merger and acquisition related costs, a non-cash adjustment for contingent consideration, a settlement charge for a retired executive, an insurance settlement on a property claim in Q3 2022, and a U.S. discrete non-cash tax adjustment. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 2 and 3 of the Q3 2023 news release.

Adjusted EBITDA in 2023 is defined as adjusted operating income adjusted for depreciation and amortization expense, other income / (expense), net and an impairment of equity investment. Adjusted EBITDA in 2022 is defined as adjusted operating income adjusted for depreciation and amortization expense, other income / (expense), net, and a settlement charge for a retired executive. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 4 and 5 of the Q3 2023 news release.

Adjusted EBITDA margin is defined as the ratio of adjusted EBITDA divided by net revenues.

Q3 Year-to-Date Non-GAAP Measures Definitions

Adjusted effective tax rate for 2023 is defined as the ratio of income tax expense adjusted for the net tax effect of adjustments for restructuring costs, transformation costs, non-cash adjustment for contingent consideration, and merger and acquisition related costs divided by adjusted net earnings. Adjusted effective tax rate for 2022 is defined as the ratio of income tax expense adjusted for the net tax effect of adjustments for restructuring costs, transformation costs, non-cash adjustments for contingent consideration, settlement charge for a retired executive, an insurance settlement on a property claim in Q3 2022, and a U.S. discrete non-cash adjustment divided by adjusted net earnings. This measure allows for a direct comparison of the effective tax rate between periods.

Free cash flow in 2023 is defined as net cash provided by (used in) continuing operating activities adjusted for capital expenditures, cash payments for restructuring costs, transformation costs, and merger and acquisition related costs. Free cash flow in 2022 is defined as net cash provided by (used in) continuing operating activities adjusted for capital expenditures, cash payments for restructuring costs, transformation costs, the continuing operations component of the qualified settlement fund (QSF) funding, a payout for a retired executive and an insurance settlement in on a property claim in Q3 2022. Please refer to the free cash flow reconciliation on table 8 of the Q3 2023 news release.

Operating leverage is defined as the ratio of the change in adjusted operating income for the current period (e.g. Q3 2023) less the prior period (e.g. Q3 2022), divided by the change in net revenues for the current period less the prior period.

Organic revenue is defined as GAAP net revenues adjusted for the impact of currency and acquisitions.

Organic bookings is defined as reported orders in the current period adjusted for the impact of currency and acquisitions.

Working capital measures a firm's operating liquidity position and its overall effectiveness in managing the enterprise's current accounts.

- **Working capital** is calculated by adding net accounts and notes receivables and inventories and subtracting total current liabilities that exclude short-term debt, dividend payable and income tax payables.
- **Working capital as a percent of revenue** is calculated by dividing the working capital balance (e.g. as of September 30) by the annualized revenue for the period (e.g. reported revenues for the three months ended September 30 multiplied by 4 to annualize for a full year).